Variance Analysis Summary							
Review threshold: investigate variances > $2,500.							
Account	Prior Month	Current Month	Variance ($)	Variance (%)	Material	Explanation	Action Required
Service Revenue	$145,000	$172,500	$27,500	19.0%	Yes	Increase driven by higher client collections and 2 new contracts signed	Monitor
Payroll Expense	$58,000	$61,200	$3,200	5.5%	Yes	Timing difference due to additional contractor hours in February	Monitor
Software & Subscriptions	$3,200	$3,200	$0	0.0%	No	Stable recurring expense — no unusual activity	None
Utilities & Internet	$1,850	$1,920	$70	3.8%	Yes	Seasonal increase due to winter heating — expected to normalize	None
Office Rent	$8,500	$8,500	$0	0.0%	No	Fixed recurring expense — on schedule	None
Total Operating Expenses	**$71,550**	**$74,620**	**$3,070**	**4.3%**	**Yes**	**Variance driven by payroll timing and utilities increase**	**None**
N[illegible]t	**$73,450**	**$97,880**	**$24,430**	**33.3%**	**Yes**	**Strong improvement — revenue growth outpacing expense increases**	**None**

Month-End Close Process & Variance Review — Service-Based Business

Business Type	Service-based business
Category	Month-End Close
Key Outcome	Consistent month-end close with variance visibility and reporting readiness
Project Type	Simulated operations project
Scope	Month-end close checklist, account reviews, variance analysis, and reporting controls
Skills Demostrated (2) 1	Financial review & variance analysis · Internal controls · Month-end-close · Process documentation (SOP)
Status	Published
Tools Used	Excel · Google Sheets

Project summary

This project focused on designing and executing a structured month-end close process to ensure financial accuracy, timely reporting, and visibility into period-over-period variances for a service-based business.

Problem

The business lacked a documented month-end close process, resulting in inconsistent close timelines, limited review controls, and insufficient visibility into financial variances between periods.

Approach

- Designed a standardized month-end close checklist to sequence tasks and responsibilities
- Performed account-level reviews to confirm completeness and accuracy
- Prepared variance analysis to identify material changes in income and expenses
- Documented review steps to support repeatable and controlled closes

Deliverables

- Month-end close checklist
- Account review summary
- Variance analysis report
- Management-ready close documentation

January-End Close Checklist

Close sequence is dependency-based (Cash → AR/AP → Payroll → GL → Review → Sign-off).

	Close Task	Task Category	Owner	Due Date	Status	Review Notes	Risk Flag
1	Bank reconciliations completed	Cash & Banking	Finance Manager	05-Feb-2026	Complete	No material variances	Low
2	Reconciling items reviewed and dispositioned	Cash & Banking	Finance Manager	05-Feb-2026	Complete	Reviewed and approved	Low
3	Revenue completeness reviewed	Revenue & AR	Revenue Manager	04-Feb-2026	Complete	All invoices recorded	Low
4	AR aging reviewed and exceptions noted	Revenue & AR	Revenue Manager	04-Feb-2026	In Progress	Following up on 3 invoices over 60 days	Medium
5	All vendor bills recorded	Expenses & AP	Accounts Payable	06-Feb-2026	In Progress	Waiting on 2 invoices from vendors	Medium
6	AP aging reviewed	Expenses & AP	Accounts Payable	06-Feb-2026	Not Started	Scheduled for 07-Feb	High
7	Payroll expense verified	Payroll	Payroll Manager	03-Feb-2026	Complete	Payroll processed and reconciled	Low
8	Payroll liabilities reviewed	Payroll	Payroll Manager	05-Feb-2026	Complete	Tax liabilities accrued	Low
9	Journal entries reviewed	General Ledger	Controller	05-Feb-2026	In Progress	Reviewing manual entries from prior day	Medium
10	Account balances reviewed	General Ledger	Controller	06-Feb-2026	Not Started	Pending GL close	High
11	Variance analysis performed and documented	Review & Sign-Off	Controller	06-Feb-2026	In Progress	Year-to-date variances being analyzed	Medium
12	Management review completed	Review & Sign-Off	CFO	07-Feb-2026	Not Started	Scheduled for final sign-off	High

Month-end close checklist showing task sequencing, ownership, status tracking, and risk flags to support a controlled and timely financial close.

Variance Analysis Summary							
Review threshold: investigate variances > $2,500.							
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Office Rent	$8,500	$8,500	$0	0.0%	No	Fixed recurring expense — on schedule	None
Total Operating Expenses	**$71,550**	**$74,620**	**$3,070**	**4.3%**	**Yes**	**Variance driven by payroll timing and utilities increase**	**None**
Net Cash Movement	**$73,450**	**$97,880**	**$24,430**	**33.3%**	**Yes**	**Strong improvement — revenue growth outpacing expense increases**	**None**

Monthly variance analysis comparing prior and current period results, highlighting material variances, root-cause explanations, and required follow-up actions.

Outcome

The month-end close process was standardized, close activities became repeatable and reviewable, and financial variances were clearly identified to support informed management decisions and ongoing financial control.